Hammond Power Solutions Inc.

Growth Runway Extending; Capacity Expansion and AEG Support the Next Phase

HPS.A (TSX) C$299.88	STOCK RATING	TARGET	EST. TOTAL RETURN
	Outperform (Unchanged)	**C$355.00** (Was C$325.00)	**18.7%**

European Marketing Takeaways

Capacity Expansion; Where and How Much, Not If

The question is no longer whether HPS needs more capacity, but where and how much. Monterrey 4 and reconfiguration across Monterrey 3/4 should bridge near-term demand and support ~$1.2 bln of revenue capacity in 2026E, with existing real estate potentially adding another $50-$100 mln. Beyond that, we believe a greenfield decision is increasingly likely, with quotation activity remaining robust and a new facility requiring 1.5-2.0 years to build.

Data Centre Demand Remains the Primary Growth Engine

Data centres have moved from 10% of revenue three years ago to 30% exiting 2025, with a higher share of backlog at >30-40%. This demand signal is also changing backlog quality: orders are larger in value and longer-dated, with typical data centre awards of ~$10-$20 mln. In our view, this reinforces HPS' differentiation in custom dry-type transformers, where schedule, integrity, engineering support, and quality matter more than price.

AEG Acquisition Extends the Growth Runway

Management reiterated expectations for a Q2/26 close, subject to regulatory approvals. We continue to view AEG as an underappreciated strategic platform, expanding HPS into UPS, power electronics, services and AC/DC power quality solutions. With limited geographic and product overlap, the key opportunity is leverage HPS' North American channels to sell AEG technology while preserving AEG's existing strength in Europe, APAC and the Middle East.

Tariffs and Technology Risk Look Manageable

Section 232 tariffs create margin timing pressure, particularly on standard product, but HPS has moved on price and larger custom contracts often include tariff protection. Solid-state transformers and 800 VDC data centre architecture remain legitimate long-term watch items, but current economics appear narrow and niche. We view AEG as giving HPS building blocks that turn emerging AC/DC architectures into option value.

Increasing Target and Maintain Outperform

Reflecting stronger long-term pricing and cash flow expectations, we are raising our target to $355/sh (was $325), based on a 50/50 blend of an 18x 2027E EV/EBITDA multiple and a long-term DCF (8.1% discount rate), and maintain Outperform rating.

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STOCK DATA

52-Week High and Low ($)	356.80-107.25
Dividend per Share ($)	1.10
Dividend Yield (%)	0.4
Shares Outstanding (Mln)	11.9
Market Capitalization ($Mln)	3,570.0
Net Debt ($Mln)	431.6
Enterprise Value ($Mln)	4,001.7

NBCCM ESTIMATES & VALUATION

Fiscal Y/E December	2025A	2026E	2027E
Revenue ($Mln)	898.3	1,327.1	1,649.2
Revenue Growth Y/Y (%)	13.9	47.7	24.3
Gross Margin ($Mln)	272.3	409.2	519.5
Gross Margin (%)	30.3	30.8	31.5
Net Income ($Mln)	72.2	71.4	125.3
Adj. EBITDA ($Mln)	133.3	191.2	240.6
Adj. EBITDA Margin (%)	14.8	14.4	14.6
Adj. EV/EBITDA (x)	11.3	20.9	16.3
P/E (x)	18.3	36.5	27.3

All figures in C$ unless otherwise noted

Source: NBCM, Company Reports, LSEG

STOCK PERFORMANCE *(Source: FactSet)*



COMPANY PROFILE

Hammond Power Solutions Inc. (HPS) is a manufacturing company, headquartered in Guelph, Ontario. HPS has developed into the one of the largest manufacturers of dry-type transformers and related engineered magnetic devices (power quality products) in North America, employing roughly 2,000 people, with a manufacturing and distribution presence that spans 16 locations in the United States, Canada, Mexico and India.

For required disclosures, please refer to the end of the document.

Marketing Takeaways; Investor Meetings Reinforce the Positive Thesis

We recently had the opportunity to host management across Europe for investor meetings. We came away with several consistent messages: demand visibility remains strong, capacity is again becoming a strategic constraint, and AEG should broaden the growth algorithm beyond dry-type transformers. Investor dialogue broadly honed in on tariffs, data centre architecture changes, data centre capex, and capacity-cycle risk; however, we believe underlying demand drivers of the broader energy transition and electrification thematic support the durability of its growth profile, underlying profitability and our investment thesis.

Figure 1: Topics of Discussion and Read-Through

Theme	Messaging	Read-Through
Capacity Expansion	Quotation activity supports the next build; existing footprint should bridge ~$50-$100 mln, but greenfield likely becomes the following step.	Positive. We would view a new facility announcement as demand validation rather than capex risk.
Data Centers	Sales mix is ~30%, backlog exposure is >30-40%, and typical orders are ~$10-$20 mln with some larger awards.	Positive. Data centre demand is making backlog larger, longer and more strategic despite lumpiness. Margins also are <500 bps incremental.
AEG Acquisition	Q2/26 close reiterated; limited geographic/product overlap and clear commercial synergy into North America.	Positive. AEG extends HPS into power quality, UPS, power conversion and aftermarket services.
Tariffs / Margins	Price actions are in market; standard product reprices in ~6-8 weeks while custom work takes longer, often with contract protection.	Manageable. Q2/Q3 may remain choppy, but pricing and absorption support recovery.
Technology Roadmap	SSTs and 800 VDC architecture remain niche today, but relevant to future AC/DC power systems.	Option value. AEG gives HPS the building blocks to participate over time.

Source: NBCM, Company Reports

Capacity Expansion: The Question Is Where, Not If

- **Monterrey Remains the Bridge:** Monterrey 4 adds ~$100 mln of revenue capacity, with reconfiguration across Monterrey 3/4 expected to add another ~$100 mln and support a path toward ~$1.2 bln of revenue capacity through 2026E.
- **Utilization Is Still Tight:** HPS has been operating near ~90-95% utilization, above the ~85-90% level management views as healthier for execution and planning, i.e., missteps at higher utilization levels that could conspire against quality or otherwise.
- **Greenfield Is the Likely Next Lever:** We believe that existing real estate may still unlock another ~$50-$100 mln in the near term, but a step-change likely requires a new facility, with a 1.5-2.0 year build/ramp timeline.
- We believe the likelihood of a U.S. manufacturing footprint has increased, driven by the benefits of greater customer proximity (data centre build out and broader sales channel), enhanced supply-chain resiliency, and improving long-term economics amid evolving trade and procurement dynamics. In association, this could open Made-in-America opportunities and reduce geopolitical risk, although labour and build costs are higher than Mexico, i.e., over $20-25 mln for $100 mln capacity. That said, evolving trade policy may be altering the economics. While U.S. manufacturing has traditionally been associated with a higher cost structure, we believe that premium may be narrowing. Given the current tariff regime and the increasing strategic importance of transformers to U.S. infrastructure, energy security and grid resiliency objectives, the economic trade-off between U.S. and Mexican production could now be closer to neutral than in prior years.

Bottom Line: Management's capacity framework remains quotation-led. HPS is not adding capacity simply because orders are in hand; instead, it is evaluating the quality and quantity of quotations. That distinction matters as it suggests the next footprint decision is being driven by demand durability rather than a short-cycle backlog spike.

Data Centre Demand: Stronger, Larger and Later-Cycle

- **Mix Has Scaled Rapidly:** data centres have increased from ~10% of sales three years ago to ~20% in 2024 and ~30% exiting 2025, with commensurate impact to backlog exposure equating higher at over 30-40%.
- **Orders Are Meaningful:** typical data centre awards are ~$10-$20 mln, with some larger, creating a lumpier and longer-dated backlog profile.
- **HPS Participates Across the Power Chain:** dry-type transformers are used in Power Distribution Units (PDU), racks and broader facility loads such as HVAC, pumps and other equipment; PDU-specific transformers are typically custom-engineered.
- **Execution I the Differentiator:** customers want product on time, with reliability and recourse if something goes wrong. Price matters, but comes behind that of availability and execution on custom work.

Bottom Line: Data centres remain the strongest demand signal in the portfolio today. Importantly, HPS is often engaged later in the data centre construction cycle, meaning projects being built in 2027 could translate into transformer orders in late 2027 or 2028. This supports the case that the opportunity extends beyond the current backlog.

AEG: Strategic Extension Into Power Electronics

- **Q2/26 Close Reiterated:** management reiterated its intention for a Q2 close, subject to regulatory approvals and process steps.
- **Commercial Synergies First:** HPS can leverage its North American market access, distributor/private-label/OEM relationships and reputation to introduce AEG technology into a market where AEG has a limited presence.
- **Growth Profile Remains Attractive:** AEG has delivered a ~13-14% revenue CAGR over the past several years, with margins transitioning toward the low double digits and a multi-year opportunity to approach HPS-like profitability as scale, operating leverage and services penetration increase.
- **Services Add Recurring Revenue:** AEG brings repair/service revenue around UPS and power solutions, which is a more controllable aftermarket opportunity than traditional dry-type transformers, which typically don't require services unlike their liquid-filled counterpart.
- **2027 Is the First Proof Point:** commercial opportunities could start to appear in 2027, and should that manifest, would be upside to our base case estimates.

Bottom Line: AEG is underappreciated from a strategic perspective, and in our view, should help reposition HPS from a pure dry-type transformer manufacturer to a broader power infrastructure platform. The strategic fit is a function of both what AEG brings and what it does not overlap with: AEG has limited U.S. exposure and no meaningful product overlap, but brings UPS, power conversion, inverters/rectifiers, services and exposure across Europe, APAC and the Middle East.

Tariffs and Margins: Timing Headwind, Not Thesis Change

- **Section 232 Is the Pressure Point:** new HTS coverage captures 1-16 kVA transformers and metal-based components, a meaningful part of the business.
- **Pass-through Remains the Base Case:** HPS has responded with price increases; catalogue products can typically reprice in ~6-8 weeks / ~60 days, while pure custom work can take ~6 months.
- **Large Custom Work Has Protection:** larger contracts often include tariff or re-pricing clauses, reducing risk where HPS has already spent against backlog.
- **Industry Structure Helps:** competitors also face similar steel, aluminum, copper, offshore-component and Mexico supply-chain dynamics, supporting industry-wide pass-through.
- **Absorption Should Improve:** plant ramp and unabsorbed overhead have created drag on margins before meaningful production; with that we could see sequential improvement as new capacity ramps through Q2-Q4.

Bottom Line: Tariffs remain the clearest near-term margin risk, but the meetings reinforced why this should be viewed as a timing issue rather than a permanent loss of pricing power. The challenge is cadence: standard product can move quickly, while custom work has a longer repricing cycle. That creates near-term margin noise before pricing and overhead absorption normalize.

Technology Roadmap: 800 VDC and Solid State Transformers (SST) Are Watch Items

- **Near-term Displacement Risk Looks Low:** conventional magnetics remain the economic solution for most applications, and HPS does not currently participate in 800 VDC data centre architecture today.
- **Long-term Relevance Is Real:** as electrification expands, the DC slice of the power architecture grows; 800 VDC and SSTs therefore belong on the strategic watch list.
- **AEG Provides the Building Blocks:** PCS, UPS, inverters, rectifiers and energy management give HPS a credible path into AC/DC systems even if the market evolves.

Bottom Line: Solid-state transformers are not conventional transformers. They are systems that combine medium-frequency magnetics, inverters, rectifiers and power conversion, which are encapsulated by a data energy management system. The technology matters for bidirectional power, AC/DC conversion, microgrids, battery storage, renewables and potentially high-density/space-constrained data centres, but current economics remain narrow and expensive (limited ROI).

Competitive Positioning and Go-to-Market

- **Custom Remains the Core:** roughly 60% of sales are custom and 40% standard, with mix likely to continue skewing higher toward custom as data centre and complex industrial demand grows. Recall, we view custom (data centre-related activity) as commanding a <500 bps premium to gross margins relative to that of standard product.
- **Standard Is Availability and Price:** for stock/catalogue product, availability is the largest driver, followed by price and brand preference.
- **Custom Is Value-Based:** for custom product, schedule, quality, reliability and engineering support rank ahead of price.
- **Distribution Is Strategic:** the focus has shifted from adding distributors to increasing wallet share, including selling custom products through the distributor channel.
- **"Co-opetition" (Cooperation + Competition) Is Normal:** HPS competes with the global platforms in certain low-voltage products but also supplies custom transformers to larger platforms.
- **China Risk Is Concentrated at the Low End:** management does not see meaningful Chinese competition in larger custom transformers; pressure is more relevant in smaller units where price matters most.

Bottom Line: The meetings reinforced that HPS's moat is practical execution rather than a single proprietary technology. Standard products are more price-sensitive, while custom products depend on engineering depth, design libraries, manufacturing discipline, on-time delivery and distributor/channel access. This distinction matters as the mix continues to skew toward custom work.

Figure 2: Concerns and Associated Read-Through

Pushback	What We Heard	Our Take
Can backlog be cancelled?	Some orders can be cancelled without penalty, but historical conversion has been ~90%; spend against backlog is often protected by termination clauses.	Risk exists, but order quality appears supportive and data centre demand is extending visibility.
Is dry-type supply becoming balanced?	Supply/demand is more balanced than oil-filled transformers, but industry remains capacity-tight and quotation activity is still growing.	Capacity additions should still create share-gain opportunities.
Will U.S. manufacturing be too costly?	U.S. labour/build costs are higher, but a U.S. footprint could improve access to certain projects and reduce trade/geopolitical risk.	Strategic benefits could outweigh pure cost disadvantage in the long-term.
Are SSTs / 800 VDC a threat?	Technology is important but niche and expensive today; AEG gives HPS the power electronics building blocks.	Long-term watch item; not a near-term thesis-breaker.

Source: NBCM, Company Reports

Capital Allocation and Catalysts

- **Capacity First:** near-term capital allocation remains focused on meeting demand, maintenance capital and preserving flexibility.
- **Balance Sheet Can Support Growth:** management is comfortable with net debt/EBITDA around ~1.5-2.0x (we see leverage peak at 2.4x Q2/26E and reducing rapidly to 1.5x through 2027E), leaving room for AEG and potential smaller bolt-ons over time.
- **Future M&A Likely Targeted:** incremental deals are more likely to be bolt-ons around AEG or related power quality capabilities than another transaction of AEG's size.
- **Working Capital Is a Lever:** management continues to rightsize working capital to around~20% of sales, with inventory as the primary lever, i.e., finished goods and process improvements, which should positively resonate to free cash conversion.
- **S&P/TSX Composite Inclusion Represents a Near-Term Catalyst:** HPS was added to the latest S&P/TSX Composite Index rebalance, with changes taking effect at the close on June 19, 2026. Index inclusion should drive approximately 0.22 mln shares of passive demand, equivalent to ~$66 mln or 1.7x average daily trading volume (ADV). Notably, implementation coincides with the U.S. Juneteenth holiday, which could reduce cross-border liquidity and amplify trading volatility into the close as index-related demand is absorbed.

Investment Thesis Reiterated - Momentum Intact; We Would Use the Recent Pullback

The meetings strengthened our conviction that HPS remains a structural growth story that is still being debated as a cyclical manufacturer. Capacity is tightening into a stronger data centre cycle, AEG gives the company a wider strategic aperture, and tariff/technology concerns appear manageable within the investment horizon. We would frame the current setup as a continuation of the re-rating thesis: investors are paying for a transformer manufacturer, while HPS is increasingly becoming a power infrastructure platform with capacity scarcity and power-quality optionality. While the capex cycle of data-centre-related activity remains debatable, we believe the broader energy transition and electrification trends present a broader piece of the pie, in which HPS will be a direct beneficiary over the long term.

- **Near-term catalysts:** AEG closing in Q2/26, clarity on the next capacity expansion, and S&P/TSX index inclusion.
- **Medium-term drivers:** sustained data centre demand, pricing/absorption recovery, and initial AEG commercial synergies through 2027.
- **Key risks:** tariff timing, capacity execution, data centre capex cycle, technology shifts and a potential normalization of data centre order cadence.

Turning to valuation, despite a significant re-rating, HPS continues to trade at a notable discount to both broader electrification peers at over 20x 2027E EBITDA, and transformer/power infrastructure-focused names, which trade at over 25x EBITDA versus HPS at 16.3x on our forecast. While the latter group should generally command a premium due to their broader solutions offerings and greater diversification, we believe the current valuation spread understates HPS's attractive growth profile, backlog visibility and emerging participation in higher-value segments of the electrification ecosystem.

Summary of Estimate Changes; Timing Shift from AEG Offset by Improved Pricing Outlook

We have updated our estimates to reflect revised acquisition timing and updated pricing assumptions. For Q2/26E, we now forecast revenue of $297.3 mln (was $314.4 mln, cons. $296.6 mln), representing a 5.0% reduction vs. our prior estimate. The revision is entirely driven by a later contribution from the AEG acquisition, as we now assume the transaction closes near the end of Q2/26E, resulting in roughly two weeks of AEG revenue contribution vs. one month previously. Elsewhere, our underlying assumptions across Canada, the U.S./Mexico and India remain unchanged. Gross margin is maintained at 30.6%, while adj. EBITDA is revised modestly lower to $42.5 mln (was $44.8 mln, cons. $43.5 mln). As a result, we now estimate Q2/26E adj. EPS of $1.80 (was $1.93), a decline of 7%.

For FY2026E, we now forecast revenue of $1,327.1 mln (was $1,328.8 mln, cons. $1,321.0 mln). The lower AEG contribution in Q2/26E is partially offset by a stronger outlook for H2/26E, reflecting a higher pricing growth assumption. We have not changed our gross margin or EBITDA margin assumptions, which remain at 30.8% and 14.4%, respectively. Combined with the slightly lower revenue forecast, our FY2026E adj. EBITDA estimate decreases a touch to $191.2 mln (was $191.7 mln, cons. $197.7 mln), while adj. EPS declines to $8.21 (was $8.24).

Looking ahead to FY2027E, we increase our revenue estimate by ~4% to $1,649.2 mln (was $1,582.0 mln, cons. $1,580.0 mln), driven by a higher pricing assumption and updated F/X. We largely maintain our gross margin and EBITDA margin assumptions at 31.5% and 14.6%, respectively. With higher revenue and unchanged profitability assumptions, our FY2027E adj. EBITDA increases to $240.6 mln (was $232.3 mln, cons. $243.4 mln) and adj. EPS estimate increases to $10.98 (was $10.48), an improvement of ~5%.

Figure 3: Summary of Estimate Changes

(In CAD mln unless otherwise noted)	Q2'26E						FY'26E						FY'27E					
	New	Old	Δ	%Δ	Cons.	Variance	New	Old	Δ	%Δ	Cons.	Variance	New	Old	Δ	%Δ	Cons.	Variance
Canada	66.2	66.2	0.0	0.0%			258.5	256.7	1.8	0.7%			284.4	276.2	8.2	3.0%		
US and Mexico	209.1	210.5	(1.4)	(0.7%)			843.9	831.6	12.3	1.5%			941.6	882.5	59.0	6.7%		
India	8.5	8.5	0.0	0.0%			36.0	36.0	0.0	0.0%			36.9	36.9	0.0	0.0%		
AEG Revenue	13.5	29.2	(15.7)	(53.8%)			188.7	204.4	(15.7)	(7.7%)			386.4	386.4	0.0	0.0%		
Revenue	**297.3**	**314.4**	(17.1)	(5.4%)	**296.6**	0%	**1,327.1**	**1,328.8**	(1.7)	(0.1%)	**1,321.0**	0%	**1,649.2**	**1,582.0**	67.2	4.2%	**1,580.0**	4%
COGS	206.4	218.1	(11.8)	(5.4%)			917.9	919.1	(1.1)	(0.1%)			1,129.7	1,083.7	46.0	4.2%		
Gross Profit	90.9	96.3	(5.3)	(5.5%)	89.6	2%	409.2	409.7	(0.5)	(0.1%)	397.6	3%	519.5	498.3	21.2	4.2%	479.8	8%
GP margin (%)	30.6%	30.6%	(0.0%)	(0.1%)	30.2%	0.4%	30.8%	30.8%	(0.0)	(0.0%)	30.1%	0.7%	31.5%	31.5%	0.0%	0.0%	30.4%	1.1%
Sales and Distribution	32.0	33.8	(1.8)	(5.4%)			146.8	146.9	(0.1)	(0.0%)			183.2	175.7	7.5	4.2%		
G&A	21.7	23.0	(1.2)	(5.4%)			103.5	103.5	0.0	0.0%			133.9	128.5	5.5	4.2%		
Adj. EBITDA	**42.5**	**44.8**	(2.2)	(5.0%)	**43.5**	(2%)	**191.2**	**191.7**	(0.5)	(0.3%)	**197.7**	(3%)	**240.6**	**232.3**	8.3	3.6%	**243.4**	(1%)
Margin (%)	14.3%	14.2%	0.1%	0.5%	14.7%	(0.4%)	14.4%	14.4%	(0.0%)	(0.1%)	15.0%	(0.6%)	14.6%	14.7%	(0.1%)	(0.7%)	15.4%	(0.8%)
EPS	0.32	0.46	(0.1)	(29.7%)			6.0	6.0	(0.03)	(0.5%)			10.52	10.13	0.39	3.8%		
Adj EPS	**1.80**	**1.93**	(0.1)	(7.1%)			**8.21**	**8.24**	(0.03)	(0.4%)			**10.98**	**10.48**	0.51	4.8%		
FX (USD/CAD)	1.378	1.390	(0.0)	(0.9%)			1.378	1.363	0.0	1.1%			1.363	1.310	0.1	4.0%		

Source: NBCM, Company Reports, LSEG

Increasing Target to $355/sh and Maintaining Outperform Rating

Following our European marketing meetings and updated forecasts as outlined above, we are increasing our target price to $355/sh (was $325/sh) while maintaining our Outperform rating. Our revised target remains unchanged on a blended valuation methodology that assigns a 50/50 weighting to our long-term DCF and our target multiple approach. Our DCF continues to utilize an 8.1% discount rate and our multiple-based valuation applies an unchanged 18.0x EV/EBITDA multiple to our 2027E estimate.

The increase in our target price is primarily driven by a higher DCF-derived value, reflecting improved long-term revenue, cash flow expectations and adjustments to our working capital assumptions. Our updated assumptions incorporate stronger pricing growth, as discussed above, as we gain confidence that HPS can sustain pricing above historical levels. This view is supported by a growing mix of data centre projects, which tend to be larger, more customized and less price-sensitive, as well as industry demand that remains constrained by capacity. Together, these factors support stronger pricing realization and reinforce our long-term revenue and cash flow outlook.

Figure 4: HPS's Peer Comparables

Company	Ticker	Market Cap US$ (mln)	Dividend Yield	Net Debt/EBITDA	Sales CAGR (%)		Sales Growth (% y/y)		EBITDA Growth (% y/y)		Gross Margins		EV/EBITDA		FCF Margin (%)		ROIC	ROE	ROA
					(3-year)	(5-year)	FY1	FY2	FY1	FY2	FY1	FY2	FY1	FY2	FY1	FY2			
Canadian Industrial Manufacturers																			
ATS Corp	ATS.TO	$2,689	0.0%	2.8x	5%	16%	2%	5%	5%	11%	30%	30%	10.9x	9.4x	5%	7%	0%	-2%	-1%
Mattr Corp	MATR.TO	$577	0.0%	3.2x	14%	1%	3%	4%	7%	15%	27%	28%	7.3x	6.1x	4%	4%	13%	7%	3%
TerraVest Industries Inc	TVK.TO	$1,791	0.7%	3.8x	33%	35%	30%	13%	15%	23%	27%	29%	11.6x	9.1x	6%	8%	10%	16%	7%
Russel Metals Inc	RUS.TO	$2,473	2.8%	1.1x	(3%)	12%	21%	2%	23%	1%	20%	20%	9.1x	8.7x	3%	3%	10%	10%	7%
Average			**0.9%**	**2.7x**	**12%**	**16%**	**14%**	**6%**	**12%**	**13%**	**26%**	**27%**	**9.7x**	**8.3x**	**5%**	**6%**	**8%**	**8%**	**4%**
Diversified Electrification Peers																			
Abb Ltd	ABBN.S	$183,138	1.2%	0.3x	4%	5%	12%	8%	19%	9%	41%	41%	17.4x	15.8x	14%	13%	20%	30%	11%
Eaton Corporation PLC	ETN	$155,988	1.1%	1.3x	10%	9%	16%	10%	11%	16%	38%	39%	22.7x	19.2x	13%	15%	14%	22%	10%
Schneider Electric SE	SCHN.PA	$128,318	1.6%	1.5x	6%	10%	8%	9%	8%	13%	42%	42%	17.1x	14.9x	12%	13%	10%	15%	7%
Siemens Energy AG	ENR1n.DE	$110,313	0.5%	(1.5x)	10%	7%	12%	14%	68%	30%	21%	22%	16.5x	12.2x	13%	10%	12%	15%	3%
GE Vernova Inc	GEV	$247,263	0.2%	(2.3x)	9%	nmf	19%	14%	90%	52%	24%	28%	39.8x	25.7x	14%	13%	41%	47%	9%
Powell Industries Inc	POWL.O	$10,329	0.1%	(2.1x)	28%	16%	9%	15%	12%	18%	30%	25%	38.5x	32.2x	14%	12%	29%	32%	18%
Hitachi Energy India Ltd	HITN.NS	$16,179	0.0%	(3.8x)	22%	nmf	41%	38%	50%	50%	40%	40%	nmf	nmf	(1%)	6%	0%	0%	0%
Advanced Energy Industries Inc	AEIS.O	$11,852	0.1%	(0.6x)	(1%)	5%	24%	17%	42%	27%	40%	41%	24.3x	19.5x	6%	12%	9%	12%	6%
Average			**0.6%**	**(0.9x)**	**11%**	**9%**	**18%**	**16%**	**38%**	**27%**	**35%**	**35%**	**25.2x**	**19.9x**	**10%**	**12%**	**17%**	**22%**	**8%**
Transformer/Power Suppliers																			
WEG SA	WEGE3.SA	$35,154	0.0%	(0.2x)	11%	18%	3%	18%	2%	21%	33%	34%	19.4x	15.9x	10%	12%	25%	32%	16%
Shanghai Electric Group Co Ltd	601727.SS	$17,095	0.0%	nmf	3%	(2%)	5%	3%	nmf	10%	18%	18%	11.6x	10.6x	nmf	nmf	1%	2%	1%
HD Hyundai Electric Co Ltd	267260.KS	$22,317	0.8%	(0.7x)	25%	18%	15%	18%	25%	25%	37%	39%	30.1x	19.1x	15%	18%	36%	42%	17%
CG Power and Industrial Solutions Ltd	CGPO.NS	$15,051	0.2%	(1.9x)	21%	33%	26%	27%	35%	34%	31%	31%	64.2x	47.7x	2%	4%	20%	20%	12%
Hyosung Heavy Industries Corp	298040.KS	$21,205	0.2%	0.8x	19%	15%	18%	17%	43%	34%	24%	26%	26.9x	19.4x	8%	11%	18%	24%	7%
LS Electric Co Ltd	010120.KS	$21,437	0.3%	1.0x	14%	16%	23%	18%	41%	33%	23%	24%	42.5x	32.0x	4%	5%	10%	15%	6%
Forgent Power Solutions, Inc	FPS.N	$17,398	0.0%	nmf	nmf	nmf	84%	46%	nmf	58%	36%	37%	nmf	35.3x	2%	16%	5%	3%	1%
R&S Group Holding AG	RSGN.S	$1,075	2.2%	0.7x	nmf	nmf	5%	10%	(2%)	13%	30%	30%	10.7x	9.0x	8%	12%	36%	392%	21%
Transformers and Rectifiers (India) Ltd	TRNF.NS	$1,006	0.1%	0.7x	22%	28%	22%	23%	26%	25%	33%	33%	20.4x	16.3x	6%	2%	17%	19%	11%
Voltamp Transformers Ltd	VOTL.NS	$1,061	1.0%	(0.3x)	16%	25%	16%	15%	10%	17%	26%	26%	24.1x	20.1x	7%	8%	18%	18%	16%
Hainan Jinpan Smart Technology Co Ltd	688676.SS	$5,837	0.8%	nmf	15%	25%	23%	22%	nmf	29%	26%	26%	34.1x	26.5x	(6%)	4%	9%	13%	6%
Hubbell Inc	HUBB.N	$25,706	1.2%	1.3x	6%	10%	10%	6%	11%	8%	36%	36%	17.4x	15.7x	16%	16%	17%	24%	12%
Fortune Electric Co Ltd	1519.TW	$8,432	1.0%	(0.4x)	47%	24%	25%	28%	57%	35%	43%	43%	29.8x	21.8x	13%	16%	39%	46%	17%
Average			**0.6%**	**0.1x**	**18%**	**19%**	**17%**	**18%**	**28%**	**25%**	**30%**	**31%**	**27.6x**	**22.3x**	**7%**	**10%**	**19%**	**22%**	**11%**
Hammond Power Solutions Inc	**HPSa.TO**	**$2,560**	**0.4%**	**0.1x**	**17%**	**23%**	**48%**	**24%**	**43%**	**26%**	**31%**	**32%**	**20.9x**	**16.3x**	**(28%)**	**7%**	**26%**	**23%**	**14%**

Source: NBCM, Company Reports, LSEG

Note: ATS: TO and RUS: TO covered by NBCM Analyst Maxim Sytchev, MATR: TO and TVK.TO covered by NBCM Analyst Nathan Po

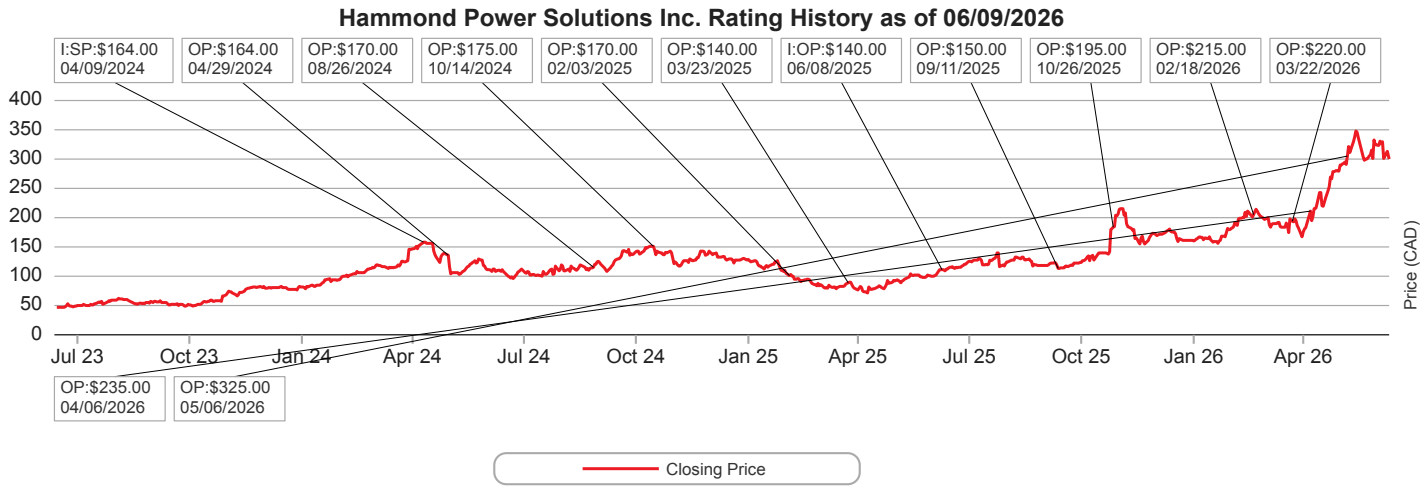
Figure 5: Summary of Financial Forecasts

Selected Results (All figures in CAD '000 unless otherwise noted, YE Dec. 31st)								
Income Statement	**2024A**	**2025A**	**Q1'26A**	**Q2'26E**	**Q3'26E**	**Q4'26E**	**2026E**	**2027E**
Total Revenue	788.3	898.3	264.8	297.3	366.3	398.6	1,327.1	1,649.2
Change yoy (%)	*11%*	*13.9%*	*31.5%*	*32.5%*	*67.8%*	*56.9%*	*47.7%*	*24.3%*
Gross Margin	258.3	272.3	79.8	90.9	113.3	125.1	409.2	519.5
Gross margin (%)	*32.8%*	*30.3%*	*30.1%*	*30.6%*	*30.9%*	*31.4%*	*30.8%*	*31.5%*
COGS ($mln)	530.1	625.9	185.0	206.4	253.0	273.5	917.9	1,129.7
Reported Adj. EBITDA	130.5	133.3	41.0	42.5	51.7	55.9	191.2	240.6
EBITDA margin (%)	*16.6%*	*14.8%*	*15.5%*	*14.3%*	*14.1%*	*14.0%*	*14.4%*	*14.6%*
Change yoy (%)	*11.3%*	*2.2%*	*32.8%*	*27.3%*	*70.6%*	*44.5%*	*43.4%*	*25.8%*
EBIT ($mln)	96.9	96.9	26.8	5.3	31.0	34.8	99.4	171.6
Operating margin (%)	12.3%	10.8%	10.1%	1.8%	8.5%	8.7%	7.5%	10.4%
Net Income ($mln)	71.5	72.2	19.6	3.9	22.6	25.4	71.4	125.3
EPS (fd)	6.01	6.07	1.64	0.32	1.90	2.13	6.00	10.52
Adj. EPS (fd)	7.10	6.86	2.08	1.80	2.04	2.30	8.21	10.98
Change yoy (%)	*6.2%*	*-3.4%*	*29.7%*	*4.6%*	*30.5%*	*16.2%*	*19.7%*	*33.8%*
Balance Sheet ($mln)								
Cash & Equivalents	34.1	40.9	38.9	54.2	14.1	(9.6)	(9.6)	70.0
Book Value of Equity	308.0	352.1	370.8	395.4	417.0	441.8	441.8	561.5
Total Debt	13.0	55.9	57.0	422.0	422.0	422.0	422.0	422.0
Net Debt	(21.1)	15.0	18.1	367.8	407.9	431.6	431.6	352.1
Net Debt/EBITDA	(0.2x)	0.1x	0.1x	2.4x	2.3x	2.3x	2.3x	1.5x
Cash Flow ($mln)								
Cash & Equivalents - start of period	52.6	34.1	40.9	38.9	54.2	14.1	40.9	(9.6)
Cash flow from operating activities	64.8	26.9	11.4	35.8	(17.9)	(1.5)	27.8	158.3
Cash flow from investing activities	(63.0)	(38.9)	(8.7)	(373.0)	(9.7)	(9.6)	(401.0)	(41.1)
Cash flow from financing activities	(24.2)	20.5	(4.6)	352.4	(12.6)	(12.6)	322.7	(37.7)
FX adjustments	3.9	(1.8)	(0.1)	-	-	-	(0.1)	-
Change in Cash	(18.5)	6.8	(2.0)	15.3	(40.1)	(23.7)	(50.5)	79.5
Cash & Equivalents - end of period	34.1	40.9	38.9	54.2	14.1	(9.6)	(9.6)	70.0
Free Cash Flow	41.7	3.1	9.8	(313.1)	(25.4)	(8.4)	(337.1)	124.8
Valuation Metrics								
Book Value/sh	25.87	29.57	31.15	33.22	35.03	37.11	37.11	47.17
EV ($mln)	1407	1505	3,588	3,938	3,978	4,002	4,002	3,922
EV/ Sales	1.8x	1.7x	13.5x	13.2x	10.9x	10.0x	3.0x	2.4x
EV/ EBITDA	10.8x	11.3x	25.0x	25.8x	22.9x	20.9x	20.9x	16.3x
Adj P/E	16.9x	18.3x	40.9x	40.5x	38.0x	36.5x	36.5x	27.3x
Shares O/S - Weighted avg (basic mln)	11.9	11.9	11.9	11.9	11.9	11.9	11.9	11.9
Shares O/S - Weighted avg (fd mln)	11.9	11.9	11.9	11.9	11.9	11.9	11.9	11.9

Source: NBCM, Company Reports, LSEG

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Incumbent risk: With larger players increasingly moving towards the manufacturing of components needed for electrification, Hammond may face competition that materially impacts its margins and volume.

Supply Chain: The company relies on parts and services from third parties. Hammond's businesses could be disrupted by supply chain challenges.

Geopolitical Risk: Hammond relies on companies from all over the world, such as steel from mills in Japan, China and India. If Canada or the U.S. enter any major conflict with the respective countries, it could have a large impact on Hammond's business.

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428 An NBCM Analyst attended a tour of ATS's Life Science Systems in Rolling Meadows, IL on February 5, 2026. None of the Analyst's expenses were paid by the issuer.
417 An NBCM analyst attended a tour of Mattr's tank manufacturing facility at the Xerxes Facility in Blythewood, SC on November 18, 2025. A portion of the analyst's expenses were paid by the issuer.

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